

23STCV17641 23STCV17641

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Case Number: 23STCV17641 Hearing Date: August 4, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

SARAH WOO, et al.,

Plaintiffs,

vs.

JOON W. KIM, et al.,

Defendants.

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CASE NO.: 23STCV17641

[TENTATIVE] ORDER OVERRULING DEMURRER TO
SECOND AMENDED COMPLAINT

Dept. 506

8:30 a.m.

August 4, 2026

After the Court sustained a demurrer to the first amended complaint ("FAC"), on September 18, 2025, Plaintiffs Sarah Woo and Sam S. Jung filed a second amended complaint ("SAC") against Defendants Joon W. Kim, Mal Ye Kim, Sang H. Cho, and CKR Enterprise Inc. The SAC alleges (1) fraudulent conveyance; (2) fraudulent conveyance and conspiracy to defraud; and (3) declaratory relief.

On October 17, 2025, Defendants Sang H. Cho and CKR Enterprise Inc. ("Moving Defendants") filed a demurrer to the SAC's second cause of action, the only cause of action alleged against them.

DISCUSSION

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.) A special demurrer for uncertainty under Code of Civil Procedure section 430.10, subdivision (f) is

disfavored and will only be sustained where the pleading is so bad that defendant or plaintiff cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) “Because a demurrer challenges defects on the face of the complaint, it can only refer to matters outside the pleading that are subject to judicial notice.” (*Arce ex rel. Arce v. Kaiser Found. Health Plan, Inc.* (2010) 181 Cal.App.4th 471, 556.)

Moving Defendants argue that the SAC still fails to allege a conspiracy, and the underlying fraud allegations fail. (Demurrer at pp. 7-11.)

“Conspiracy

is not an independent tort; it cannot create a duty or abrogate an immunity. It allows tort recovery only against a party who already owes the duty and is not immune from liability based on applicable substantive tort law principles.” (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 514.) “Standing alone, a conspiracy does no harm and engenders no tort liability. It must be activated by the commission of an actual tort. “A civil conspiracy, however atrocious, does not give rise to a cause of action unless a civil wrong has been committed resulting in damage.”” (Id. at p. 511.)

A fraudulent transfer occurs when the transfer was made with actual intent to hinder, delay, or defraud any creditor of the debtor. (Civ. Code, § 3439.04, subd. (a).) The supporting allegations must meet the heightened pleading standards for fraud. (See *Opperman v. Path, Inc.* (N.D. Cal. 2014) 87 F.Supp.3d 1018, 1066.) Fraud must be pleaded with specificity. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) “‘This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.’ [Citation.]” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.)

The

elements of an action for civil conspiracy are the formation and operation of the conspiracy and damage to plaintiff from an act or acts done in furtherance of the common tort. (*Doctors' Co. v. Superior Court* (1989) 49 Cal.3d 39, 44.) A conspiracy renders each participant in the wrongful act responsible as a joint tortfeasor for all damages. (Ibid.) “Because transferring funds in order to evade

creditors constitutes an intentional tort, it logically follows that California common law should recognize liability for aiding and abetting a fraudulent transfer.” (Berger v. Varum (2019) 35 Cal.App.5th 1013, 1025.)

Plaintiffs

allege that after the underlying judgment was entered, Defendants “engaged in an ongoing pattern of transferring and disbursing substantially all assets out of C4 CAPITAL (and from the purported M5 INVESTMENT entity) and into other assets including CKR ENTERPRISE business accounts . . . and/or into the business accounts of JOON KIM and SANG CHO’s various other business entities, including CKR ENTERPRISE, for JOON KIM and SANG CHO’s ultimate personal benefit, and did so to evade creditors including PLAINTIFFS, to personally benefit from their fraudulently obtained assets, and to specifically prevent PLAINTIFFS from collecting on any judgment arising out of PLAINTIFFS’ UNDERLYING LAWSUIT.” (SAC ¶ 51.)

Joon

Kim transferred all assets held or belonging to C4 Capital to CKR Enterprise and Sang Cho through his personal and business accounts. (SAC ¶¶ 28, 30(b), 30(f), 31.) “DEFENDANTS JOON KIM and SANG CHO conspired to and did funnel substantial sums of C4 CAPITAL assets into CKR ENTERPRISE” and “did so with each other’s full knowledge and consent.” (SAC ¶ 34; cf. FAC ¶ 36.) Joon Kim and Sang Cho comingled business accounts, including CKR Enterprise’s accounts, with their personal accounts. (SAC ¶ 45; cf. FAC ¶ 42.) Sang Cho also made personal payments from CKR ENTERPRISE’s business account. (SAC ¶ 49.)

Unlike the FAC, the SAC now alleges that from 2014 to 2020, CKR

Enterprise transferred specific sums to Joon Kim’s and Sang Cho’s personal accounts after the judgment was entered, and they made specific personal purchases with the diverted funds. (SAC ¶¶ 46, 85.) Plaintiffs allege that the “overt acts in furtherance of the conspiracy [to] demonstrate both concerted action and shared benefit” include Kim’s admissions about his use of CKR Enterprise, equity-stripping of other properties, concealment of diverted funds, the use of joint accounts, and Sang Cho’s corporate involvement with CKR Enterprise. (SAC ¶¶ 88-89; see SAC ¶ 101.) At the pleading stage, these additional allegations are sufficient to show Moving Defendants’ intent to conspire and defraud.

The demurrer to the second cause of action is overruled.

CONCLUSION

The
demurrer to the second cause of action is OVERRULED.

Sang
H. Cho and CKR Enterprise Inc. are ordered to file their answers within 10 days.

Moving
party to give notice.

Parties
who intend to submit on this tentative must send an email to the Court at
indicating intention to submit. If all parties
in the case submit on the tentative ruling, no appearances before the Court are
required unless a companion hearing (for example, a Case Management Conference)
is also on calendar.

Dated this 4th day of August 2026

Hon. Thomas D. Long

Judge of the Superior
Court